Analysis of Park City's FY25 Budget

By Jared Shumate

Park City, Utah Budget Overview

As a luxury resort community, Park City's FY25 budget revenues draw from both high sales tax revenues and high property tax revenues. Year-round tourism, especially during winter months, drives sales tax revenues while high property values create significant property tax revenues.[1]

Park City's FY25 budget allocates spending, which primarily funds personnel, core public services, and significant capital investments.[1]

General Fund Revenues

Park City's budget includes $56.7 million of revenue from general fund sources. Sales tax accounts for $20.4 million of the FY25 general fund revenue, while property taxes account for $14.1 million.[2] Together, sales and property tax comprise 61% of general fund revenues in FY25.[2] Other sources of general fund revenues in FY2025 include recreation fees, franchise tax, planning and engineering fees, and other fees.[2]

Recent 5-year trends in general fund revenues show a decrease in FY20 due to the Covid-19 pandemic but an otherwise consistent increase over the past 5 fiscal years, shown in figure 2 below.[2]

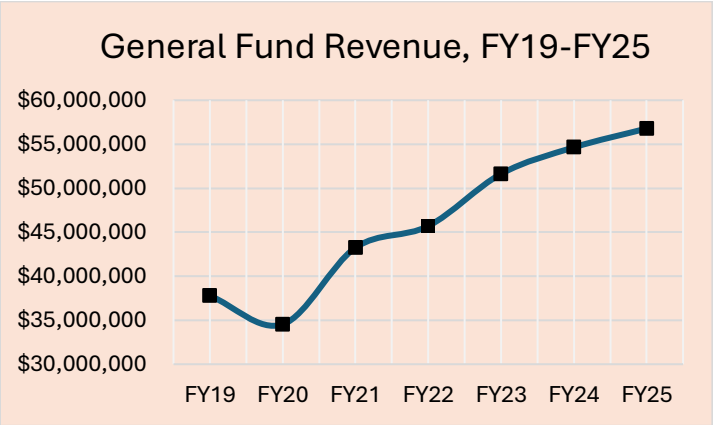

Figure 1: General Fund Revenue Growth, FY19-FY25.[2]

Local Sales Tax

As of July 1, 2025, Park City's sales tax rate totals 9.55%.[4] State and county taxes total 6.65%, and Park City levies 2.9% from additional taxes including:

- A 1% Local Option Sales Tax
- A 1.6% Resort City Sales Tax
- A 0.3% Mass Transit Tax.[1]

Sales tax revenues spike during the winter, a result of winter tourism to Park City's two ski resorts. Figure 1 demonstrates the seasonality of Park City's sales tax revenues, with revenues peaking between December and March in each of the last 4 years.[1]

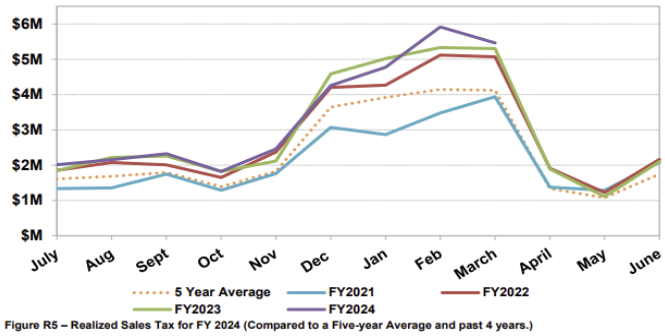

Figure 2: Seasonality of Park City Sales Tax Revenues

Property Tax

In Q3 of 2025, the median home price within Park City limits reached $4 million.[7] High property values generate high property tax revenues for the city. The Park City School District receives most property tax revenues (~93% of their budget), but ~25% of Park City's general fund revenues come from property tax.[6,2]

Other Revenues

Park City generates additional revenue through impact fees, grants, and service fees, among other sources.

Water impact fees generate $885,049 of revenue in the FY25 budget; Parks, trails, and open space impact fees generate $276,687; Public safety and Street impact fees generate $128,784 combined.[2] These fees "…reflect the cost of providing city services to new, private development projects".[2]

The city also received $14 million in federal grants, most of which funds the purchase of electric buses and associated infrastructure.[1] Park City provides free public transportation, generating numerous positive externalities, including reduced traffic congestion, lower air pollution, and equitable transportation access. Federal funding helps the city achieve these outcomes.

Charges for service fees total $27.8 million in FY25, mostly received from water services fees with a small portion coming from transit fees and cemetery service fees.[2]

Spending

General fund expenditures total $65.7 million in FY2025.[2] Personnel spending accounts for $40 million of these expenditures, while the remainder mostly funds day-to-day city operations or transfers to other funds.[2]

The Capital Improvement Fund and Transportation and Parking fund account for most non-general fund spending.[2] Most non-general fund spending prioritizes infrastructure improvements. In addition to transportation and recreation improvements, the FY25 budget allocates $10 million in funding affordable housing projects.[2]

Combined total spending from FY20 to FY25 grew significantly for both general fund and non-general fund spending. Since FY23, general fund spending increased by 11.2% and Capital Improvement Fund spending increased by 11.2%.[8]

Capital Expenses

The FY25 budget includes a variety of capital budget items. A variety of funds contribute to Park City's capital investments, including the capital improvement fund, water fund, and the redevelopment agency (RDA). Although the general fund does not directly fund capital projects, it contributes to capital development through transfers.

Main capital projects outlined in the FY25 budget include:

- $5.2 million for a new community center at City Park
- $7.5 million for aquatic facility upgrades
- $8.5 million for bus stop improvements
- $15 million for a park & ride facility near two major roadways

The capital budget projects above improve infrastructure for residents, promoting both efficiency and equity. Capital investment in transit projects improves accessibility for residents. Other options exist for improving transportation, such as widening roadways, but improvements in public transit promote efficient spending, especially in an economy with a large influx of temporary residents during tourist season who rely on public transit.

Bonds and Debts

Like many municipalities, Park City issues municipal bonds to fund projects requiring significant investment. Park City issued the most recent bond in 2021, and maturity dates for outstanding bonds range from 2026-2035.[3] Recent bonds fund water treatment facility upgrades and open space acquisition and preservation.[5]

Property tax repays Park City's General Obligation Bonds, while water service and impact fees repay Water bonds. In addition to bonding, Park City repays open space acquisition debts using the additional resort city sales tax.[5]

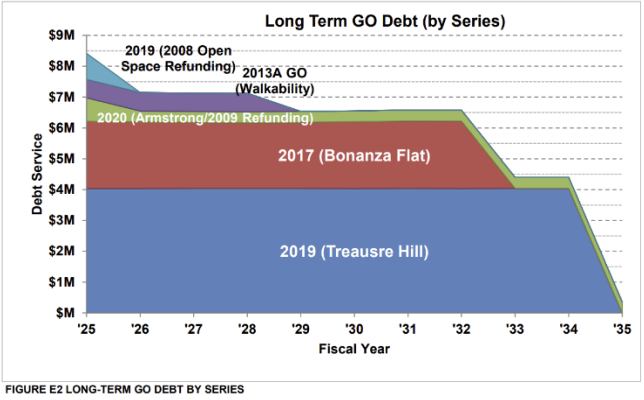

Figure 3: Outstanding GO Bond Debt

Figure 3 shows outstanding General Obligations bonds debt held by Park City. Open space projects dominate outstanding debt, primarily the Treasure Hill and Bonanza Flat acquisitions.

Recreation as a Major Budget Component

As a tourism- and recreation-based economy, recreation contributed significantly to both revenues and spending in FY25. Two world-class ski resorts lie within municipal boundaries, driving winter tourism. Hiking and biking trails, as well as municipally operated tennis courts and a golf course, drive summer tourism.

In total, the FY25 budget includes $4.9 million in revenue from recreation.[2] This amount aligns with post-covid recreation revenues, which range from $4.2 million in FY21 to $4.6 million in FY23.[2] Perhaps unique to Park City, pickleball and tennis fees combine for $1.1 million in revenue in FY25.[8]

Recreation spending concentrates on capital infrastructure spending. Allocations in FY25 include golf course improvements, open space investment, tennis court improvements, and community recreation center improvements.[2]

Conclusion

Park City's revenue benefits from high sales taxes, driven by tourism, and high property taxes, driven by high property values. Personnel accounts for most of Park City's general fund spending in FY25. Other general fund and non-general fund spending focuses on infrastructure improvements, with most non-general fund spending going towards transportation and recreation projects.[2]

Footnotes:

1. Park City Municipal Corporation 2024 Budget Guide. Accessed November 2025 from: https://parkcity.gov/home/showpublisheddocument/77198/638924894268970000
2. Park City Municipal's Fiscal Year 2025 Budget. Accessed November 2025 from: https://parkcity.gov/home/showpublisheddocument/77310/638968143454100000
3. Electronic Municipal Market Access. Accessed November 2025 from: https://emma.msrb.org/IssuerHomePage/Issuer?id=72ED61698F515DC102B3CBF01E234BE7&type=G
4. Park City Municipal Corporation 2026 Budget Guide. Accessed November 2025 from:https://parkcity.gov/home/showpublisheddocument/76672/638995958388970000
5. Open Space Acquisition. Accessed November 2025 from: https://www.parkcity.gov/departments/trails-open-space/open-space
6. Park City School District Comprehensive Annual Budget Report. Accessed November 2025 from: https://resources.finalsite.net/images/v1724095048/pcschoolsus/dhegrhcal4o22cdn1m7u/BudgetBookFinal8142024.pdf
7. Park City Realtor's 2025 #rd Quarter Statistics. Accessed November 2025 from: https://parkcityrealtors.com/quarterly-statistics/
8. Park City Municipal Budget Summary. Accessed November 2025 from: https://parkcity.gov/home/showpublisheddocument/76869/638846515608570000